CHAPTER SUMMARY

At its core, asset allocation is a strategy of risk diversification. Different asset classes and categories have different risks that are not related to one another. Holding fundamentally different investments in a portfolio, each with an expected real return over inflation, reduces overall portfolio risk and increases return in the long run.

Finding investments with unique risk-and-return characteristics is a challenge. Different fundamentals mean that the asset classes represent mutually exclusive markets or different types of securities within markets that have distinguishable characteristics. The best diversifiers have different fundamental characteristics and have low or varying correlation with other investments.

A list of potential investments from each asset class is included at the end of the chapter covering that asset class. Those lists are designed to be a guide. Each investor is unique, and this means that each portfolio will be different.